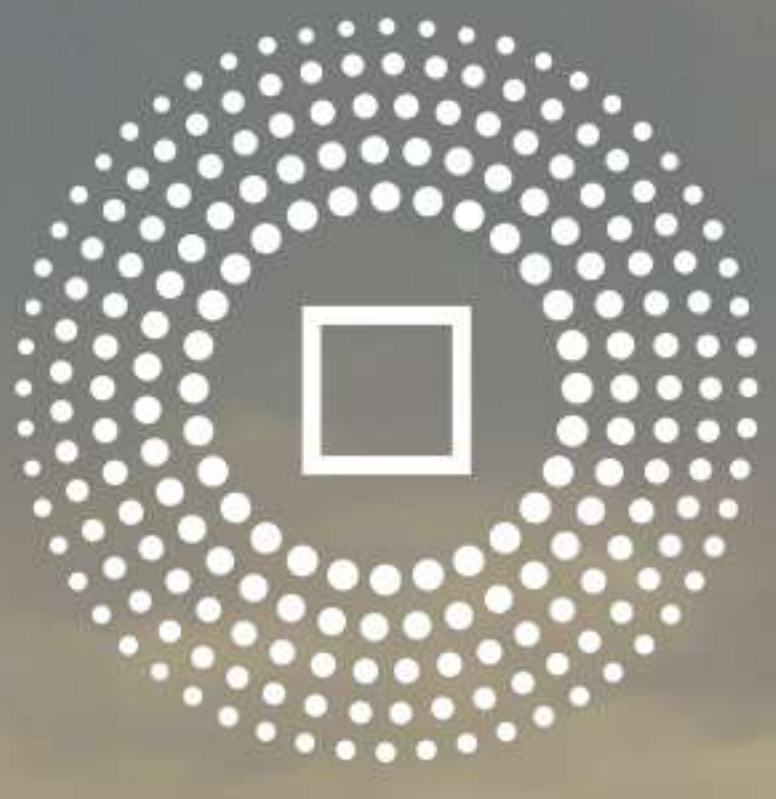




5th Pillar
Family Takaful Limited
آئیے، ساتھ چلیں



FUND MANAGER REPORT

May | 2025



Stock Market Review

During the month of May 2025, the KSE-100 index rose by 8,365 points (up 7.51%), closing at 119,691 points. The average daily volume of the market stood at 566 million shares, up by 9% on a MoM basis. Banks, Fertilizer, Oil & Gas Exploration Companies and Cement were the major positive contributing sectors to the index performance during the month.

The stock market experienced significant volatility throughout the month. The month started on a weak note due to heightened geopolitical tension between Pakistan and India, resulting in decline in PSX performance. However, following the announcement of a ceasefire agreement, tensions eased, prompting a sharp market rebound. Investor confidence was further reinforced in the latter part of the month by the disbursement of a USD 1 billion tranche from the IMF, providing additional support to market sentiment.

Foreigners were net sellers with net selling aggregating USD 15.2 million during the month. On local front, Banks were major sellers with net selling aggregating USD 10.4 mn while Insurance Companies and Brokers were major buyers with net buying aggregating USD 14.7 million and USD 12.5 million respectively (excluding debt market). International oil prices increased by 1.39% during the month with Brent closing at USD 64 per barrel.

While near-term volatility cannot be ruled out, we maintain a long-term positive outlook on the equity market. We encourage investors with higher risk appetite and longer investment horizon to enhance their exposures to equities at these levels.

Money Market Review

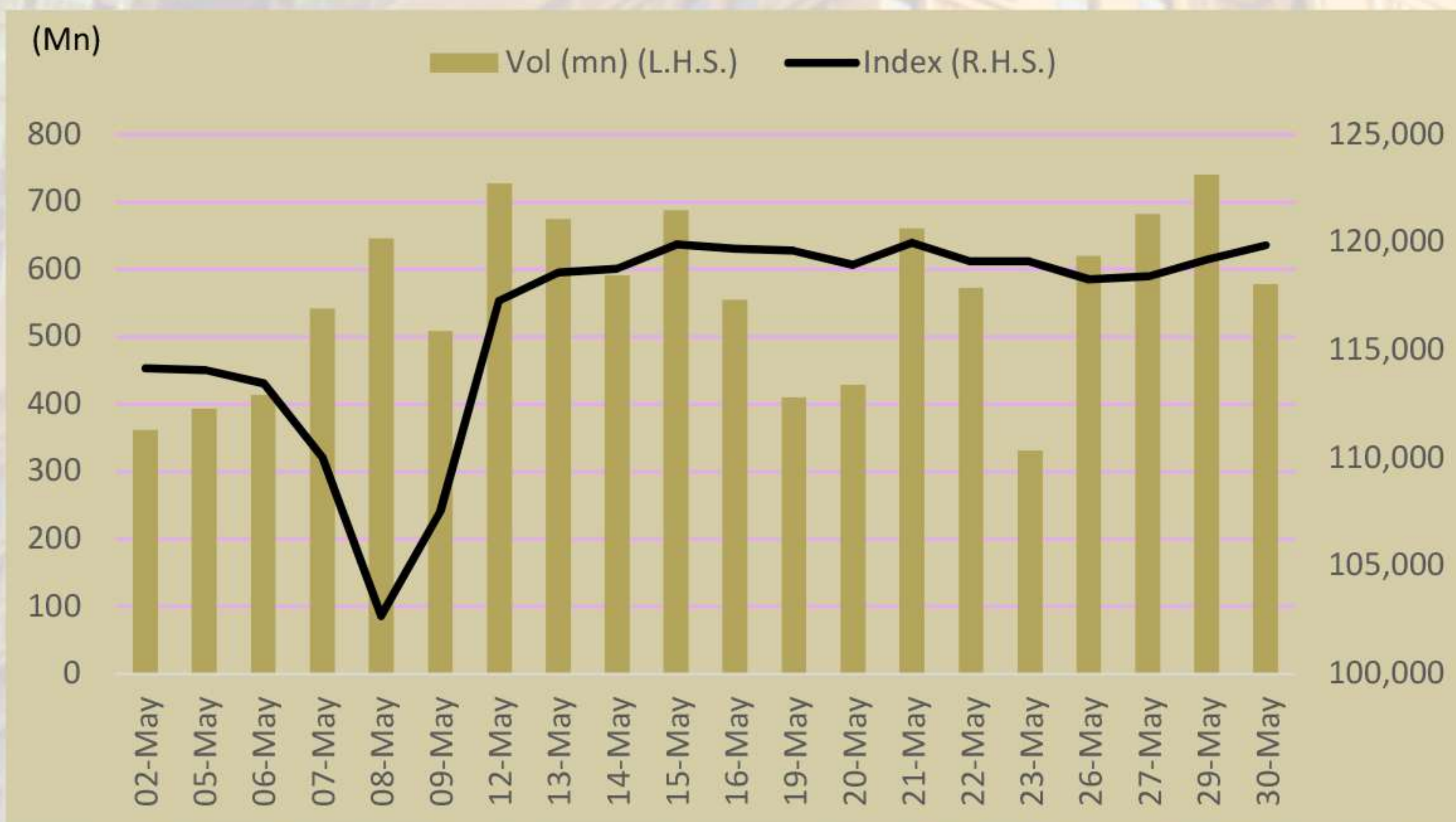
During May 2025, yields declined following a 100 bps cut in the Policy Rate and amid expectations of further monetary easing. The 3M, 6M, and 12M KIBOR dropped by 81–91 bps, settling at 11.19%, 11.20%, and 11.48%, respectively. In the secondary market, T-Bill yields for similar tenors declined by 86–102 bps to 10.93%, 10.98%, and 11.09%. Yields on 3-year, 5-year, and 10-year PIBs also fell by 27–79 bps to 11.29%, 11.58%, and 12.23%.

T-Bill and PIB Floater auctions were held twice. The government raised Rs. 1,436.52 billion through T-Bills (vs. Rs. 1,200 billion target), with demand focused on the 1M, 3M, and 12M tenors. In PIB Floaters, Rs. 299.83 billion was raised (vs. Rs. 400 billion target), solely through the 10-year issue. One PIB-Fixed auction raised Rs. 299.52 billion against a Rs. 300 billion target.

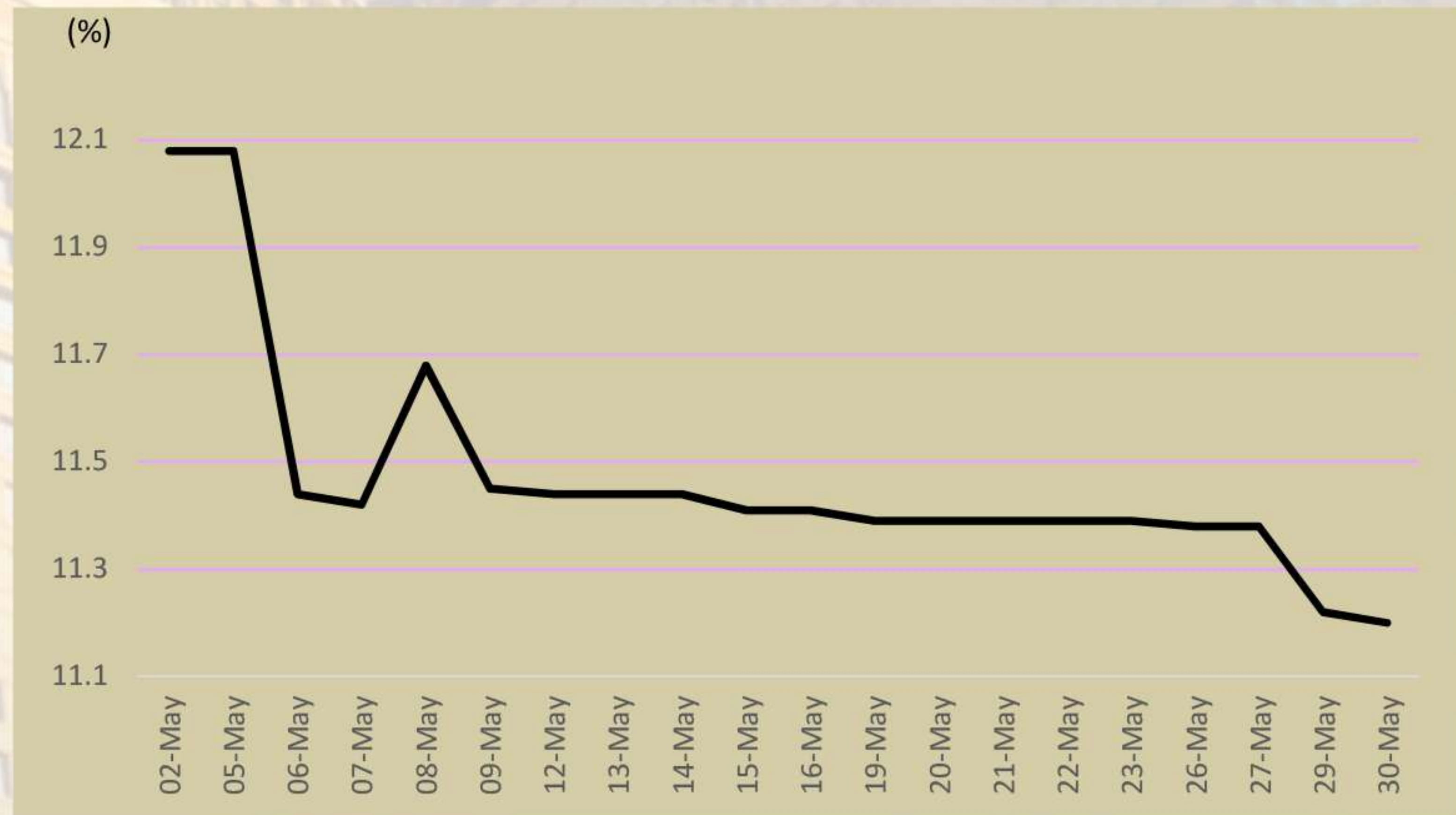
On the Islamic side, the government raised Rs. 160.85 billion through fixed and floating-rate GoP Ijarah Sukuk, surpassing the Rs. 151 billion target with a strong 4.62 bid-to-cover ratio. Notably, Rs. 31.99 billion was raised through the first-ever 3-Year VRR GoP Ijarah Green Sukuk auction conducted at PSX.

The upcoming MPS on June 16, 2025, is being closely monitored, as markets broadly anticipate another 50–100 bps cut. This sentiment is already reflected in positioning across both conventional and Islamic instruments. The PKR depreciated by Rs. 1.05 in the interbank market and Rs. 1.50 in the open market, closing at Rs. 282.02 and Rs. 284.40, respectively.

KSE - 100 Index Performance



6 Month Kibor



Investment Objective:

The main objective of fund is to provide the stability in returns by investing in low risk shariah compliant fixed income instruments with strong credit rating.

Fund Information	
Fund Category	Money Market
Risk Profile	Low
Launch Date	18-Jul-23
Nav per unit at launch Date	100.0000
Nav per unit at month End (May-2025)	134.6335
Pricing Mechanism	Daily Forward pricing
Pricing Frequency	Monday to Friday
Total Net Assets (Rs.)	651.3 M
Weighted Avg.time to Maturity	0.3 Year
Expense Ratio	0.28%
Management Fee	1.75% p.a.
Benchmark	60% weightage of Meezan Cash Fund & 40% average of 6M deposit rate of 3 AA-rated of Islamic banks or Islamic windows of Conventional banks

Asset Allocation	May-25	Apr-25
GOP Ijarah Sukuks	72.39%	69.89%
Mutual Funds	11.21%	14.09%
Bank	15.62%	15.90%
Others	0.77%	0.12%

Asset Quality	May-25	Apr-25
Government guaranteed	72.52%	70.01%
AAA	15.62%	15.90%
AA+	11.21%	14.09%
Unrated	0.65%	0.01%

Fund Returns	May-25	Apr-25
Return on (MoM) basis	10.64%	9.91%
180 days return	10.73%	11.97%
Last 365 days return	17.28%	17.37%
Return since inception (annualized)	17.23%	17.55%
Last 05 years (annualized)	N/A	N/A
Last 10 years (annualized)	N/A	N/A

Fund Manager's comments

The month began on a turbulent note as rising geopolitical tensions between India and Pakistan escalated into skirmishes, with periodic attacks by the Indian side near the Pakistani border. The assaults on May 7th and 8th triggered a sharp decline in the local stock market, which plummeted from 114,000 on May 6th to 103,000 by May 8th, driven by investor concerns over the potential for further escalation between the two nations.

However, on May 10th, the United States brokered a ceasefire agreement between the two countries, which promptly restored investor confidence. This resulted in a historic single-day surge of over 10,000 points in the index. By the end of the month, the KSE-100 posted a gain of 7.51%, while the KMI-30 rose by 8.57%.

In April 2025, the current account posted a surplus of USD 12 million, significantly lower than the USD 1.2 billion surplus recorded in March 2024. The decline was primarily due to a widening trade deficit and a 22% month-on-month drop in remittances, following seasonal Eid-related inflows in the previous month. Cumulatively, the current account registered a surplus of USD 1.88 billion during the first ten months of FY25.

Headline inflation for May rose to 3.5% year-on-year, driven primarily by a spike in food prices and the diminishing effect of last year’s favorable base, compared to 0.3% in April 2025. The average inflation for the first 11 months of FY25 declined sharply to 4.74%, down significantly from 24.91% recorded in the same period last year.

As June begins, market activity will be influenced by developments related to the upcoming federal budget, scheduled for announcement on June 10, 2025. While the budget is expected to have a neutral effect on the broader market, there may be new tax measures impacting specific sectors.

We believe the SBP still has room to cut rates by 2-3%, supported by several factors: persistently high positive real interest rates, a changing outlook for oil prices, and reduced electricity tariffs. Additionally, the equity market presents attractive valuations—with a price-to-earnings (PE) ratio below 6.3x, compared to the historical average of around 7.5x, and a market capitalization-to-GDP ratio near 10%, significantly lower than the long-term average of 20%. We expect the market to sustain its upward momentum over the next year, driven by further rate cuts and a continued shift of liquidity from income and money market instruments into equities.

